

year or two. Sure, many of us might want to retire and stop working at the age of 55 or 60. But we have the ability to extract additional human capital and convert this into financial capital. This fact itself gives us the ability to take on more investment risk. It enables you to withstand the potential fluctuations in a way that would not apply in the retirement income phase. Indeed, once you have left the workforce, you no longer have that option.

As the responsibility toward the provision of retirement income shifts from corporations and governments, toward individuals, one is forced to take a more careful look at the management of human capital over the life cycle. Early on in life, we can afford to self-insure (that is, not insure and effectively live with the circumstances of) the risk of the sequence of returns.

Finally, in my opinion, the simplest and easiest way to protect against this new and unique risk that is most relevant to retirees as their human capital has been spent is to purchase or invest in some of the products I describe in Chapter 9, “Annuities Are Personal Pensions.” For now, remember that averages can be very deceiving.

Summary

- When you accumulate wealth, and invest for the long run, the exact sequence of investment returns does not matter. One dollar grows to the same amount regardless of whether it earns 10% before the 15% or the other way around.
- But when you withdraw money, the situation is no longer as simple. You can earn a positive average return and still end up exhausting your portfolio early in retirement. Two neighbors can retire at different times, experience the same average rate of return, but still have completely different retirement experiences.
- Getting the right average in the long run might not be enough. This is yet another reason that pensions and other products that are meant to create a pension-like income stream are such an important component of a healthy retirement income portfolio.